

Fama French Mimicking Portfolios

Data Selection: Companies representing the benchmark Index

Data input requirement: market return, market capitalization, price to book value.

Frequency: Daily for the month performance evaluation is required.

Size mimicking portfolio construction

Sort the data (sorting variable: market capitalization)

For each daily observation:

Step 1: Identify small 30% of firms representing the sorted data (percentile)

Report average return (r_{ss})

Step 2: Identify large 30% of firms representing the sorted data (percentile)

Report average return (r_{sl})

Step 3

Size mimicking portfolio return: $(r_{ss}) - (r_{sl})$

Value mimicking portfolio construction

Sort the data (sorting variable: Book to market value)

For each daily observation:

Step 1: Identify large 50% of firms representing the sorted data (percentile)

Report average return (r_{vl})

Step 2: Identify small 50% of firms representing the sorted data (percentile)

Report average return (r_{vs})

Step 3

Value mimicking portfolio return: $(r_{vl}) - (r_{vs})$

Carhart Model Additional Variable

Momentum Factor mimicking portfolio construction

Data Selection: Companies representing the benchmark Index

Data input requirement: market return

Frequency: Daily for the month requiring performance evaluation and lag data.

Lag returns (example: prior month daily returns)

Sort the data (sorting variable: lag return)

For each daily observation:

Step 1: Identify large 30% of firms representing the sorted data (percentile)

Report average return (r_{ml})

Step 2: Identify small 30% of firms representing the sorted data (percentile)

Report average return (r_{ms})

Step 3

Momentum mimicking portfolio return: $(r_{ml}) - (r_{ms})$
